them. As Bud outlined the plan, the transaction was to be solely between Israel and the Iranian moderates and would not involve our country, although we would have to waive for Israel our policy prohibiting any transfer of American-made weapons to Iran.

My first reply to this proposal was: No, we don't do business with countries that sponsor terrorism. I told Bud to turn down the proposal.

But then the Israeli officials, urging us to go ahead with the deal, sent information which they said showed that the Iranians they were talking to opposed terrorism and had fought against it. We had great respect for Israel's intelligence abilities relating to matters in the Middle East, and, as a result, we gave their assertions a great deal of credence. I was told that Israeli Prime Minister Shimon Peres was behind the proposal and that the Israelis involved in the secret contacts with Iran were all close to Peres.

By this time, news reports were saying that the ayatollah was so ill and feeble that he might not even live out the week. I didn't need any arm-twisting by Bud to convince me that we ought to try to establish a connection with responsible people who might be the future leaders of Iran. Here was a bona fide opportunity to shape the future in the Middle East, take the initiative, and preempt the Soviets in an important corner of the world. As I've said, we wanted moderates running the Iranian government. I would not have entertained the plan for a second if the Israelis had said they wanted to sell American weapons to the ayatollah or to his militia, which was operated separately from the Iranian army; it did not seem unreasonable that Iranian moderates who opposed the ayatollah's authoritarian regime would ask for weapons in order to strengthen their position and enhance their credibility with Iran's military leaders. Iran's military forces were to some extent independent of the ayatollah. We knew of many cases